

counterparties. Insofar as we had to have counterparty risk, we confined it to the strongest counterparties.

Okay, those are measures to reduce business risk, but what trades did you put on to take advantage of the situation you saw?

We had very similar trades to the ones we had on at the start of 2008. We were long volatility, short credit, long the TED spread, and long the dollar because of an expected flight to quality. All of these trades had one thing in common: They were all the-world-is-going-to-get-scary trades.

These were all trades that you put back on in the third quarter of 2008 prior to the Lehman failure?

Yes.

As the markets collapsed in the ensuing months, at what point did you decide it was a good time to take money off the table?

April 2009.

So you stayed with all these bearish positions all the way through the entire decline?

Yes, until we started to lose money.

What changed in April 2009 that prompted you to get out of your positions?

Two things changed: The economy stopped getting worse, and markets started going up. The underlying problems had not gone away, but that isn't the market driver. The fact that the economy was improving, even though it was still in bad shape, meant that the optimists could come back. Never underestimate the ability of people to be optimistic and believe that everything is going to be okay. Historically, what is important to the market is not whether growth is good or bad, but whether it is getting better or worse. Growth started getting less negative, and less negative is good news. Asia started going up. The Australian dollar started going up. The S&P was actually one of the last markets to turn higher in March 2009. By March to April, you were seeing a broad-based recovery in global markets.

What trades did you transition to?